

# Falcon Distribution

Investment / Sales Offering Memorandum | Indianapolis, IN | Industrial  
As of 2026-08-31 | Prepared from packet sources only

Source-backed analysis. Assumptions remain subject to diligence.

## Deal snapshot

| Field                                                | Value                                 | Source                        |
|------------------------------------------------------|---------------------------------------|-------------------------------|
| Asset type                                           | Industrial (multi-suite distribution) | manager-cover.pdf             |
| Market                                               | Indianapolis, IN                      | manager-cover.pdf             |
| Total units / suites                                 | 8                                     | rent-roll-certified.xlsx      |
| Total area (SF)                                      | 176,060                               | rent-roll-certified.xlsx      |
| Occupied units (certified)                           | 7 (active); 1 vacant                  | rent-roll-certified.xlsx      |
| Unit / Area occupancy                                | 87.50% / 87.50%                       | rent-roll-certified.xlsx      |
| Annual in-place rent (certified, active suites)      | \$1,212,600                           | rent-roll-certified.xlsx      |
| Historical reported T12 NOI (2025-09 → 2025-08)      | \$889,786                             | operating-statement.pdf       |
| Underwritten NOI (before reserves)                   | \$901,783                             | underwriting-instructions.pdf |
| Cap rate / Capitalization value                      | 6.2500% / \$14,428,526                | underwriting-instructions.pdf |
| Sized maximum loan (binding: DSCR)                   | \$9,012,270                           | underwriting-instructions.pdf |
| Net cash-out to sponsor                              | \$1,077,147                           | underwriting-instructions.pdf |
| Photos, market comps, asking price, sponsor supplied | not supplied — see Qualifications     | n/a                           |

## Executive summary

Falcon Distribution is an 8-suite industrial distribution asset totaling **176,060 SF** in Indianapolis. As of the 2026-08-31 property-manager certified rent roll, **7 suites are actively leased** and one suite (008) is vacant, yielding **87.50% unit and 87.50% area occupancy**. All active leases run through 2029-08-31, placing no expirations inside the next 12 months. The trailing-12-month operating statement for the period ending 2026-08-31 reports collections of **\$1,262,520** and **reported NOI of \$869,736** (cash basis; no management fee booked; roof replacement capitalized outside repairs, not recurring).

Applying the prescribed underwriting convention (all-suite scheduled monthly rent on the current certified roll before the Suite 001 amendment, times 12; 5% economic loss; \$350/unit other income; prescribed opex plus a 3% management fee and \$300/unit reserves), we underwrite **EGI of \$1,334,605, NOI (before reserves) of \$901,783, and NCF (after reserves) of \$899,383**. Capitalized at the prescribed 6.2500% cap rate, capitalization value is **\$14,428,526**.

Under the prescribed sizing framework (max LTV 65%, min DSCR 1.25×, min NCF debt yield 9%, 30-year monthly amortization, sizing at the greater of the 6.10% note rate and the 7.00% floor), **the maximum loan is \$9,012,270, with DSCR the binding constraint**. After the \$7,800,000 existing payoff, \$45,000 closing costs, and a 1% origination fee (~\$90,123), the transaction produces **positive net cash-out of \$1,077,147** to the sponsor — no refinance shortfall.

## Property and unit / suite mix

The property comprises three suite typologies. Per the manager's cover note, the A/B/C grouping maps in order to Small / Standard / Large suites.

| Group | Type           | Total units | Occupied units | Total SF | Comment                           |
|-------|----------------|-------------|----------------|----------|-----------------------------------|
| A     | Small suite    | 3           | 3              | 65,640   | Suites 001, 004, 007 — all active |
| B     | Standard suite | 3           | 2              | 66,000   | Suites 002, 005; 008 vacant       |
| C     | Large suite    | 2           | 2              | 44,420   | Suites 003, 006 — both active     |
| Total |                | 8           | 7              | 176,060  | Certified detail controls         |

**Note on the manager's headline.** The cover note states "7 of 8 leased" by counting pending occupants as leased. The certified detail shows **7 active + 1 vacant, with no suites in a 'pending' status**. Because certified detail controls physical occupancy, we report occupancy from the certified roll, and flag the manager's classification convention as a risk.

## Lease and occupancy analysis

| Metric                                     | Value                   | Source                                  |
|--------------------------------------------|-------------------------|-----------------------------------------|
| Selected rent roll date                    | 2026-08-31 (certified)  | rent-roll-certified.xlsx (B2)           |
| Total units / occupied / vacant / pending  | 8 / 7 / 1 / 0           | rent-roll-certified.xlsx                |
| Total area / occupied area                 | 176,060 SF / 154,060 SF | rent-roll-certified.xlsx                |
| Unit occupancy                             | 0.8750                  | computed                                |
| Area occupancy                             | 0.8750                  | computed                                |
| In-place monthly rent (active suites)      | \$102,300.00            | rent-roll-certified.xlsx                |
| Annual in-place rent (active × 12)         | \$1,227,600             | rent-roll-certified.xlsx                |
| Suite 001 in-place monthly rent (executed) | \$14,450.00             | lease-001.pdf; rent-roll-certified.xlsx |

|                                 |                                            |                          |
|---------------------------------|--------------------------------------------|--------------------------|
| Next 12-month rollover          | None — all active leases expire 2029-08-31 | rent-roll-certified.xlsx |
| Free-rent concessions in effect | None per lease-001 dated language          | lease-001.pdf            |
| Unsigned rent-change proposals  | None in the packet; PM confirms 2026-08-31 | lease-correspondence.pdf |

The certified 2026-08-31 rent roll shows an executed Suite 001 rent of \$14,450/mo, matching the executed lease amendment. The 2026-06-30 archive rent roll (Suite 001 at \$14,375/mo) is stale and superseded. No unsigned rent-change proposal is included in the packet, and the property-manager correspondence dated 2026-08-31 confirms no additional amendments or concessions affect Suite 001.

## Historical vs. underwritten financials

The two views measure different things and must not be conflated. The historical T12 is a cash operating statement (collections + booked expenses); the underwriting view is a prescribed scheduled-potential build with defined loss factors, other income, management fee, and reserves. Both are shown below with definitions.

| Line                  | Historical T12         | Underwritten | Delta       | Definition                                                   |
|-----------------------|------------------------|--------------|-------------|--------------------------------------------------------------|
| Collections / EGI     | \$1,262,520            | \$1,334,605  | \$72,085    | Historical = cash collections (reimbursements included)      |
| Real estate tax       | \$147,294              | \$147,294    | \$0         | Prescribed = historical.                                     |
| Insurance expense     | \$49,098               | \$49,098     | \$0         | Prescribed = historical. Distinct from policy coverage       |
| Other recurring opex  | \$196,392              | \$196,392    | \$0         | Prescribed = historical.                                     |
| Management fee        | \$0                    | \$40,038.15  | \$40,038.15 | None booked historically; UW = 3% × EGI.                     |
| NOI (before reserves) | \$869,736              | \$901,782.85 | \$32,046.85 | Historical 'Reported NOI' is cash-basis. UW NOI is scheduled |
| Replacement reserves  | \$0                    | \$2,400.00   | \$2,400.00  | Not booked historically; UW = \$300/unit.                    |
| NCF (after reserves)  | unknown (not reported) | \$899,382.85 | n/a         | Historical NCF is not reported in the operating statement    |

**Ledger classification.** The historical statement shows the roof replacement was NOT booked in repairs (line reads \$0), consistent with treatment as a capital improvement. The operating ledger therefore appears free of capital contamination.

## Underwriting build (prescribed method)

| Line                         | Value           | Basis                                                                    |
|------------------------------|-----------------|--------------------------------------------------------------------------|
| Gross Potential Rent (GPR)   | \$1,401,900     | All-suite scheduled monthly rent on certified roll × 12, before Suite 00 |
| Economic loss (5%)           | (\$70,095)      | 5% × GPR                                                                 |
| Other income                 | \$2,800         | \$350 × 8 units                                                          |
| Effective Gross Income (EGI) | \$1,334,605     | GPR – loss + other; reimbursements already in GPR                        |
| Real estate tax              | (\$147,294)     | Prescribed                                                               |
| Insurance                    | (\$49,098)      | Prescribed                                                               |
| Other recurring opex         | (\$196,392)     | Prescribed                                                               |
| Management fee               | (\$40,038.15)   | 3% × EGI                                                                 |
| Total operating expenses     | (\$432,822.15)  | Sum                                                                      |
| NOI (before reserves)        | \$901,782.85    | EGI – opex                                                               |
| Replacement reserves         | (\$2,400.00)    | \$300 × 8 units                                                          |
| Net Cash Flow (NCF)          | \$899,382.85    | NOI – reserves                                                           |
| Cap rate                     | 6.2500%         | Prescribed                                                               |
| Capitalization value         | \$14,428,525.60 | NOI (pre-reserve) ÷ cap rate                                             |

## Debt sizing and sources / uses

Sizing rate is the greater of the note rate (6.10%) and the underwriting floor (7.00%). The floor is binding, so all three tests are computed at **7.00%**, 30-year monthly amortization. The annual debt constant at these terms is **0.079836** per \$1 of loan. Each of the three tests is computed independently; the sized loan is the minimum.

| Test           | Formula                                         | Value       | Constraint                              |
|----------------|-------------------------------------------------|-------------|-----------------------------------------|
| LTV cap        | $LTV \times \text{cap value}$                   | \$9,378,542 | $65\% \times \$14,428,526$              |
| DSCR cap       | $NCF \div (DSCR \times \text{annual constant})$ | \$9,012,270 | $\$899,383 \div (1.25 \times 0.079836)$ |
| Debt-yield cap | $NCF \div DY$                                   | \$9,993,143 | $\$899,383 \div 9\%$                    |
| Maximum loan   | MIN of the three                                | \$9,012,270 | DSCR binding                            |

| Diagnostic at sized loan | Value  |
|--------------------------|--------|
| DSCR at sized loan       | 1.25×  |
| LTV at sized loan        | 62.46% |
| Debt yield at sized loan | 9.98%  |

## Sources & uses

| Sources        | Amount      | Uses                                    | Amount      |
|----------------|-------------|-----------------------------------------|-------------|
| Sized loan     | \$9,012,270 | Existing loan payoff                    | \$7,800,000 |
| Sponsor equity | \$0         | Closing costs                           | \$45,000    |
|                |             | Origination fee (1%)                    | \$90,123    |
|                |             | Cash to sponsor (positive net cash-out) | \$1,077,147 |
| Total sources  | \$9,012,270 | Total uses                              | \$9,012,270 |

**Net cash-out = \$1,077,147 (positive).** Sponsor receives cash at close; no additional equity required. Because the sized loan exceeds the existing payoff, there is no refinance shortfall.

## Risks and missing diligence

| Risk field                | Flag    | Evidence & basis                                                                            |
|---------------------------|---------|---------------------------------------------------------------------------------------------|
| risk_pending_in_occupancy | present | manager-cover.pdf p.1 headline counts pending as leased ("7 of 8"); certified detail shows  |
| risk_near_term_rollover   | absent  | rent-roll-certified.xlsx F5:F12 — all leases expire 2029-08-31, > 12 months from 2026-08-31 |
| risk_missing_insurance    | absent  | insurance.pdf p.1 — GL policy declaration present (\$2,000,000 aggregate coverage limit)    |
| risk_capital_in_opex      | absent  | operating-statement.pdf p.1 — 'Roof replacement booked in repairs: 0'; capital was excluded |
| risk_unsigned_rent_change | absent  | lease-001.pdf and lease-correspondence.pdf — the Suite 001 amendment is executed;           |
| risk_temporary_free_rent  | absent  | lease-001.pdf p.1 — 'No free-rent concession applies as of the evaluation date.'            |
| risk_sizing_floor_binding | present | underwriting-instructions.pdf p.1 — note rate 6.10% < floor 7.00%; sizing is at the floor.  |
| risk_refinance_shortfall  | absent  | Debt sizing produces net cash-out of \$1,077,147 (positive) > \$0 → no shortfall.           |

### Diligence status (routine open items)

Per diligence-status.pdf, legal, environmental, property-condition, and title reviews have not been completed and remain routine open diligence. The packet provides **no evidence** of contamination, litigation, fraud, or structural failure, and we do not assert any such findings. Standard third-party reports (Phase I ESA, PCA, ALTA survey, title commitment, zoning report) should be ordered in due course.

### Items not supplied in the packet (explicitly unknown, not zero)

| Item                                 | Status                                  |
|--------------------------------------|-----------------------------------------|
| Property photos                      | not supplied                            |
| Asking price / whisper price         | not supplied                            |
| Market sales comps                   | not supplied                            |
| Market rent comps                    | not supplied                            |
| Sponsor track record / bio           | not supplied                            |
| Historical NCF (after reserves)      | not reported in operating statement     |
| Rent-comparable-based mark-to-market | cannot be assessed without market comps |

## Reconciled field report

All ratios are reported as decimals (0.95, not 95). Missing information is stated as **unknown**, distinct from zero. Sources are shown with filename and page/cell.

| Field                   | Value           | Unit    | Evidence · location                                |
|-------------------------|-----------------|---------|----------------------------------------------------|
| total_units             | 8               | count   | rent-roll-certified.xlsx · Rent Roll!A5:A12        |
| occupied_units          | 7               | count   | rent-roll-certified.xlsx · Rent Roll!D5:D12        |
| pending_units           | 0               | count   | rent-roll-certified.xlsx · Rent Roll!D5:D12        |
| total_area_sf           | 176,060         | SF      | rent-roll-certified.xlsx · Rent Roll!C5:C12        |
| occupied_area_sf        | 154,060         | SF      | rent-roll-certified.xlsx · Rent Roll!C5:C12,D5:D12 |
| unit_occupancy          | 0.8750          | decimal | computed from certified roll                       |
| area_occupancy          | 0.8750          | decimal | computed from certified roll                       |
| annual_in_place_rent    | \$1,227,600     | USD/yr  | rent-roll-certified.xlsx · E5:E12 filtered active  |
| unit_001_monthly_rent   | \$14,450.00     | USD/mo  | lease-001.pdf p.1; rent-roll-certified.xlsx · E5   |
| gross_potential_rent    | \$1,401,900     | USD/yr  | underwriting-instructions.pdf p.1 para 2           |
| uw_egi                  | \$1,334,605     | USD/yr  | computed per instructions                          |
| uw_tax                  | \$147,294       | USD/yr  | underwriting-instructions.pdf p.1 para 3           |
| uw_insurance            | \$49,098        | USD/yr  | underwriting-instructions.pdf p.1 para 3           |
| uw_operating_expenses   | \$432,822.15    | USD/yr  | computed = tax + ins + other + mgmt                |
| uw_noi                  | \$901,782.85    | USD/yr  | computed                                           |
| uw_ncf                  | \$899,382.85    | USD/yr  | computed                                           |
| sizing_rate             | 7.00%           | decimal | underwriting-instructions.pdf p.1 para 4           |
| cap_rate                | 6.2500%         | decimal | underwriting-instructions.pdf p.1 para 3           |
| capitalization_value    | \$14,428,525.60 | USD     | NOI ÷ cap_rate                                     |
| ltv_limit               | 0.65            | decimal | underwriting-instructions.pdf p.1 para 4           |
| dscr_limit              | 1.25            | ratio   | underwriting-instructions.pdf p.1 para 4           |
| debt_yield_limit        | 0.09            | decimal | underwriting-instructions.pdf p.1 para 4           |
| maximum_loan            | \$9,012,270     | USD     | MIN(LTV, DSCR, DY) sizing                          |
| net_cash_out            | \$1,077,147     | USD     | loan – payoff – closing – origination              |
| insurance_policy_limit  | \$2,000,000     | USD     | insurance.pdf p.1 (coverage limit; not expense)    |
| selected_roll_date      | 2026-08-31      | date    | rent-roll-certified.xlsx · B2                      |
| reported_t12_noi        | \$869,736       | USD/yr  | operating-statement.pdf p.1 table                  |
| type_a_units / occupied | 3 / 3           | count   | certified roll; A=Small per manager cover          |
| type_b_units / occupied | 3 / 2           | count   | certified roll; B=Standard per manager cover       |
| type_c_units / occupied | 2 / 2           | count   | certified roll; C=Large per manager cover          |

## Source register

| Filename                      | Location             | Field(s) cited                                             | Note                                                    |
|-------------------------------|----------------------|------------------------------------------------------------|---------------------------------------------------------|
| rent-roll-certified.xlsx      | Rent Roll!B2, A5:G12 | unit mix, occupancy, in-place rent, selected in-place rent | Selected in-place rent of 2026-08-31.                   |
| rent-roll-archive.xlsx        | Rent Roll!B2         | (archive)                                                  | 2026-06-30 stale roll — superseded, not used for fa     |
| lease-001.pdf                 | p.1                  | unit_001_monthly_rent, risk_temporary_rent                 | Executed lease with rents of \$145,000; change 2029-08  |
| lease-correspondence.pdf      | p.1                  | risk_unsigned_rent_change                                  | PM confirms 2026-08-31: no additional amendmen          |
| insurance.pdf                 | p.1                  | insurance_policy_limit, risk_missing_insurance             | Covers aggregate \$2,000,000; effective 7/1/2026 – 6/30 |
| operating-statement.pdf       | p.1 table            | reported_t12_noi, risk_capital_in_op                       | T12 ending 2026-08-31; roof capitalized, not in rep     |
| manager-cover.pdf             | p.1                  | group mapping (A/B/C), risk_pending_A/B/C                  | Small/Standard/Large; headline 7-of-8 cou               |
| underwriting-instructions.pdf | p.1                  | GPR, EGI, opex, cap rate, sizing, debt                     | Prescribed model parameters.                            |
| diligence-status.pdf          | p.1                  | (qualifications)                                           | Legal/enviro/PCA/title routine pending; no findings     |

**Notice.** Original fictional evaluation material; no real transaction. No external research or outreach was performed. Photos, asking price, market comps, and sponsor history are not supplied and their absence is labeled rather than filled.